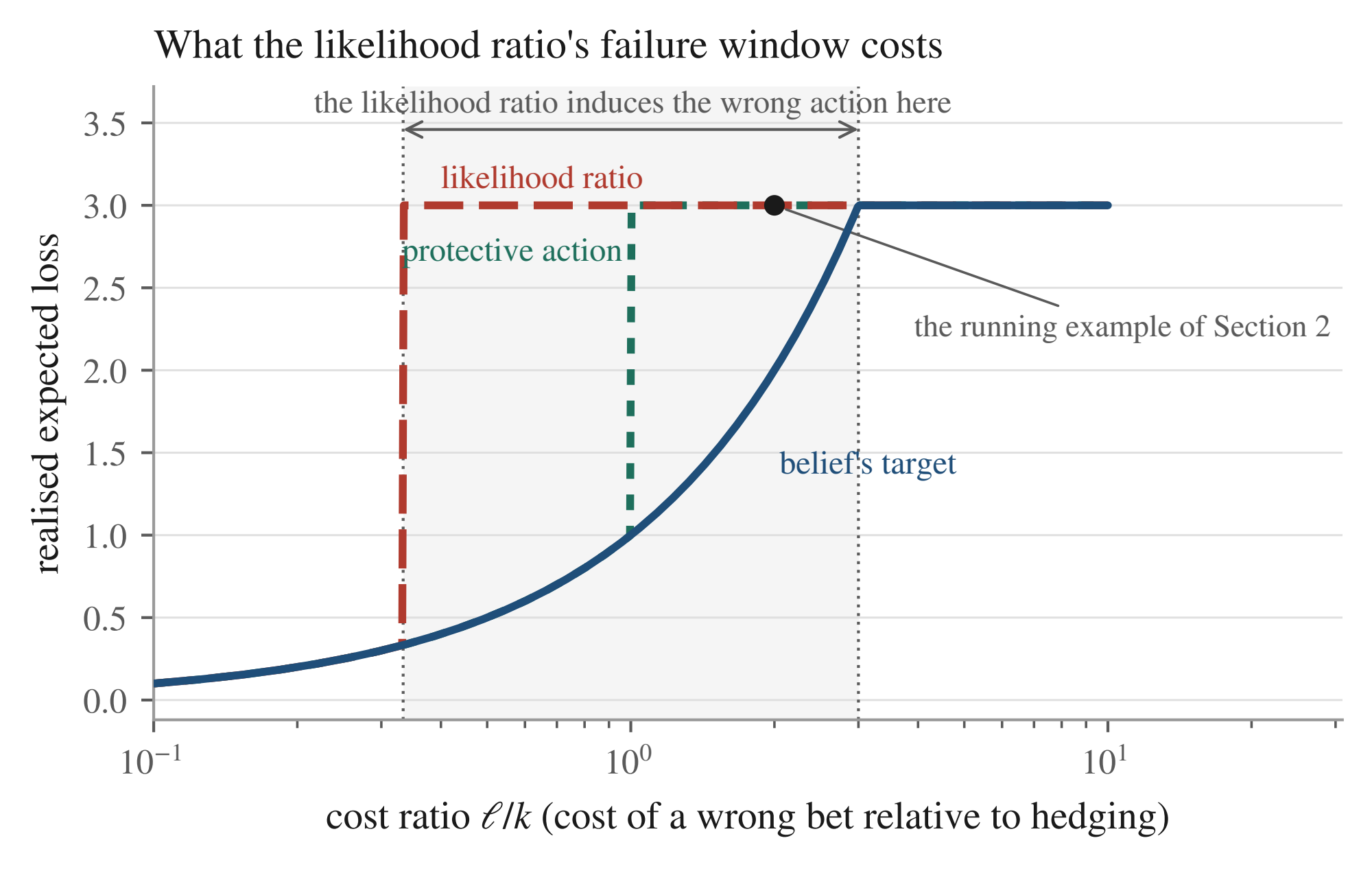
What the likelihood ratio's failure window costs
the likelihood ratio induces the wrong action here
likelihood ratio
protective action
the running example of Section 2
belief's target
realised expected loss
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
10^{-1}
10^{0}
10^{1}
cost ratio ℓ/k (cost of a wrong bet relative to hedging)